

CASE STUDY

MOHAMMED AZHAR, 64
Crescent Exports Pvt Ltd, *Kolkata*

Annual turnover
₹100 crore *(FY25)*

No. of employees
1,500

Total exports to the US: **₹40 crore**

Likely loss due to the tariffs: **₹26 crore**

Mohammed Azhar, owner of Crescent Exports Pvt Ltd, is at the heart of India's leather export crisis. Nearly 40 per cent of his shipments are bound for America, meaning orders worth Rs 26 crore are halted at the production stage. For Azhar, the problem is compounded by the fact that the US absorbs bulk consignments and drives fashion trends that can't be moved elsewhere. Exploring new markets, he argues, is not a viable alternative. "The US can buy in scale, others cannot. American fashion does not work everywhere," he notes.

Azhar spent 15 per cent more on air freight—rather than shipping it by sea as usual—to ensure his final consignments reached the US before the new duty came in force, He felt the extra freight fare was justified to protect his business ties with brands like Zara, Gucci and Hugo Boss.

The uncertainty weighs heavily on Crescent Exports, which employs 1,500 workers. Azhar fears that if the standoff persists, he might have to let go 400. One possible solution is to set up plants in Sri Lanka or Vietnam, from where goods could be shipped to the US, but such a move cannot be executed overnight, admits Azhar. Moreover, these nations rely more on mechanisation and struggle to provide highly skilled craftsmen that India brings to the trade. ■

↘ The Fallout: India's rice exporters had reason to be optimistic until recently, with annual shipments surging past 6 million tonnes after years of stagnation. While the US accounted for only around 5 per cent of this volume, it had been a prized destination where branding, visibility and margins mattered as much as volumes. But now they along with India's remaining agricultural sector face a significant setback as new US tariffs target high-value exports, including basmati rice, spices, tea, pulses and processed food. This comes after a period of notable growth. And that's where the real pinch lies. As former agriculture secretary Siraj Hussain states, "The 50 per cent tariff will hit Indian exports quite hard." Exporters are now forced to either absorb severe losses or risk losing decades of valuable market development in one of their most lucrative destinations, a shift especially painful for branded companies that invested heavily in diaspora-led demand.

INDIA'S EXPORTS TO THE US
$6 billion
(₹52,800 cr.)

TOTAL JOBS IMPACTED
1.2 million
(farmers/ workers linked to US-bound supply chains)

↘ The Competitors: With a clear tariff advantage, Pakistan is emerging as the biggest winner in the basmati category, leveraging its 19 per cent duty to capture India's hard-won market share in the US. Thailand and Vietnam are equally well-positioned to capture demand for non-basmati varieties. The competitive onslaught, however, extends